

Example of a Public Servant resigning before age 60

- Date of Retirement: January 12, 2020
- Date of Birth: January 12, 1960
- Date of Resignation: **March 13, 2015**
- Age at Resignation: **55**
- Employment Commenced: October 9, 1983
- Annual Salary: EC\$100,000.00

Service Dates: Two (2) Formulas

1. Service from **October 9, 1983 to December 31, 2003** = 242 months (20 years, 2 months). Please note that only full months count, meaning employment must commence on the 1st of the month.
 - a. $242/600 \times 100,000$ = Full Pension
2. Service from **January 1, 2004 to March 13, 2015** = 134 months (11 years, 2 months). Any month(s) from January 1, 2004, in which no contributions are made, are deducted from the total months of pensionable service = 134 - months with no contributions = total months)
 - a. $134/960 \times 100,000$ = Full Pension

Gratuity Option and Reduced Pension at Retirement

Gratuity = Full Pension $\times 12.5 \times 0.25$

Reduced Pension = Full Pension $\times 0.75$

Discounted Gratuity = Gratuity $\times$ discount factor (0.8219)

- 4% discount factor. See table below
- Based on years to normal retirement age of 60. In this case, 5 years remain until the age of 60.

IMPORTANT POINTS

- ✓ Maximum Full Pension = $2/3 \times$ Annual Salary
- ✓ Therefore if the total full pension in 1 & 2 above exceed $2/3$ of the salary, then the maximum is applied.

DISCOUNT TABLE FOR GRATUITIES

Years to normal Retirement	Discount Factor
	4%
1	0.9615
2	0.9246
3	0.8890
4	0.8548
5	0.8219
6	0.7903
7	0.7599
8	0.7307
9	0.7026
10	0.6756
11	0.6496
12	0.6246
13	0.6006
14	0.5775
15	0.5553
16	0.5339
17	0.5134
18	0.4936
19	0.4746
20	0.4564
21	0.4388
22	0.4220
23	0.4057
24	0.3901
25	0.3751
26	0.3607
27	0.3468
28	0.3335
29	0.3207
30	0.3083
31	0.2965
32	0.2851
33	0.2741
34	0.2636
35	0.2534
36	0.2437
37	0.2343
38	0.2253
39	0.2166
40	0.2083

Example of a Public Servant resigning before age 65

- Date of Retirement: January 12, 2035
- Date of Birth: January 12, 1970
- Date of Resignation: **March 13, 2015**
- Age at Resignation: **45**
- Employment Commenced: January 1, 2004
- Annual Salary: EC\$90,000.00

Service Dates: One (1) Formula

1. Service from **January 1, 2004 to March 13, 2015** = 134 months (11 years, 2 months). Any month(s) from January 1, 2004, in which no contributions are made, are deducted from the total months of pensionable service = 134 - months with no contributions = total months)

b. $134/960 \times 90,000 = \text{Full Pension}$

Gratuity Option and Reduced Pension at Retirement

Gratuity = Full Pension $\times 12.5 \times 0.25$

Reduced Pension = Full Pension $\times 0.75$

Discounted Gratuity = Gratuity $\times$ discount factor (0.4564)

- 4% discount factor. See table above
- Based on years to normal retirement age of 65. In this case, 20 years remain until the age of 65.

IMPORTANT POINTS

- ✓ Maximum Full Pension = $2/3 \times \text{Annual Salary}$
- ✓ Therefore if full pension in number 1 above exceeds $2/3$ of the salary, then the maximum is applied.